

Table 1: The Mitigating Effect of Institutional Dimensions on Macroeconomic Shocks

	Dependent Variable: Log GDP per Capita			
	(1) Pooled OLS	(2) Country FE	(3) Pooled OLS	(4) Twoway FE
Main Effects (Lagged)				
Broad Governance (<i>PC1</i>)	0.0775*** (0.0056)	0.0103 (0.0151)	0.0742*** (0.0074)	-0.0092 (0.0114)
Fiscal Scale (<i>PC2</i>)	-0.0168 (0.0124)	-0.0112 (0.0101)	-0.0143 (0.0160)	0.0073 (0.0106)
Market Openness (<i>PC3</i>)	0.0164 (0.0158)	0.0330*** (0.0080)	0.0080 (0.0186)	-0.0008 (0.0102)
Regulatory Flex. (<i>PC4</i>)	0.0301* (0.0169)	0.0120* (0.0061)	0.0266 (0.0218)	-0.0081 (0.0071)
Covid-19 Shock			-0.0411 (0.0669)	
Crisis Interactions				
<i>PC1</i> × Covid Shock			0.0080 (0.0117)	0.0069*** (0.0016)
<i>PC2</i> × Covid Shock			-0.0148 (0.0333)	-0.0037 (0.0056)
<i>PC3</i> × Covid Shock			0.0094 (0.0562)	0.0130 (0.0099)
<i>PC4</i> × Covid Shock			0.0185 (0.0369)	0.0116** (0.0054)
Constant	10.85*** (0.0199)		10.86*** (0.0252)	
Fixed Effects				
Country	No	Yes	No	Yes
Year	No	No	No	Yes
Model Fit				
Observations	135	135	135	135
R^2	0.597	0.986	0.603	0.995

Notes: Standard errors in parentheses. Institutional dimensions (PC1–PC4) are lagged by one year to mitigate immediate reverse causality. The Covid-19 Shock main effect in column (4) is absorbed by the inclusion of Year Fixed Effects. Significance levels adhere to standard academic thresholds.

* $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$